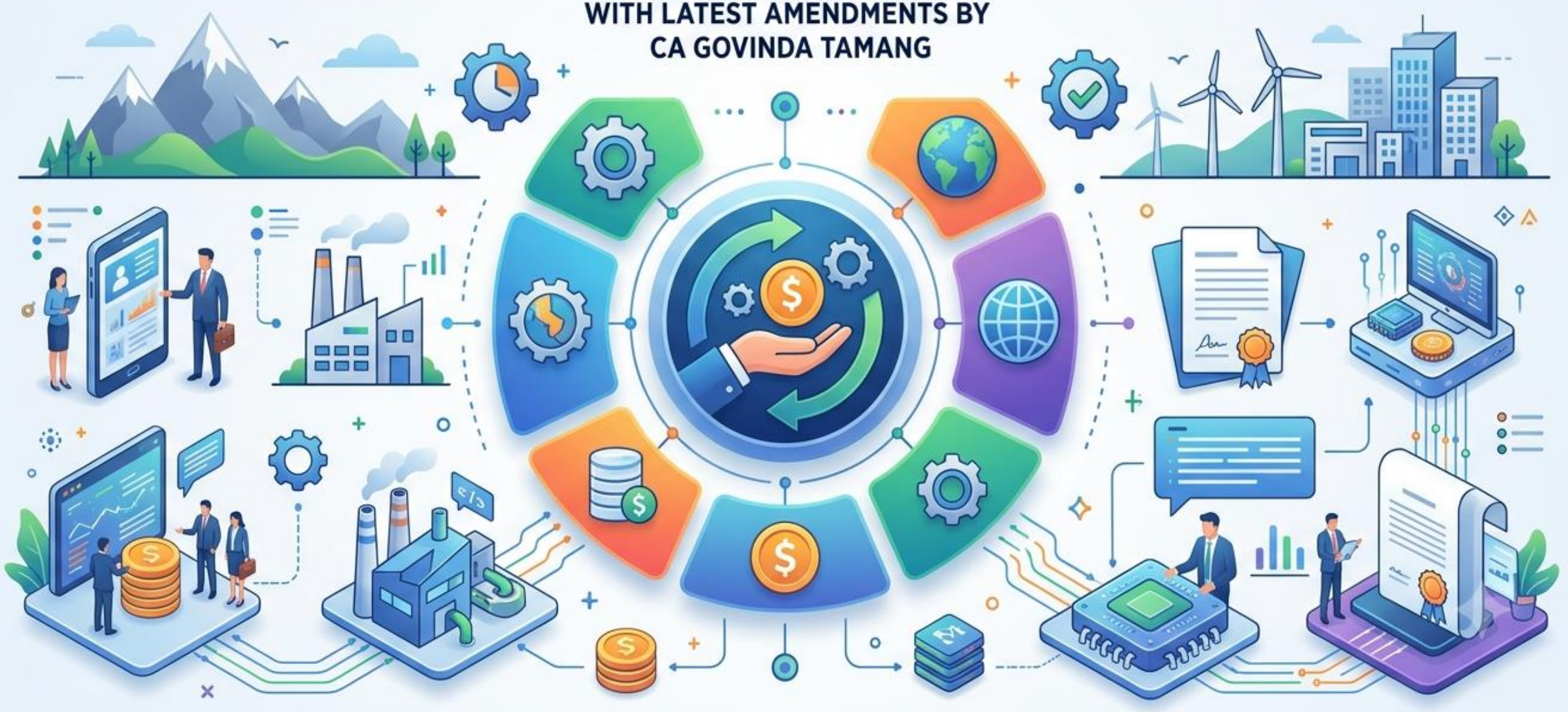
# FOREIGN INVESTMENT AND TECHNOLOGY TRANSFER ACT (FITTA) 2075

# विदेशी लगानी तथा प्रविधि हस्तान्तरण ऐन, २०७५

WITH LATEST AMENDMENTS BY
CA GOVINDA TAMANG



# NEPAL: FOREIGN INVESTMENT & TECHNOLOGY TRANSFER ACT, 2019 (2075)

**Date of Authentication:** March 27, 2019 (2075.12.13)
**Act No.** 34 of the year 2075 (2018/19)
An Act Made to Amend and Consolidate Laws Relating to Foreign Investment and Technology Transfer

## PREAMBLE



WHEREAS, it is expedient to...

**MAKE NATIONAL ECONOMY COMPETITIVE, STRONG & EMPLOYMENT-ORIENTED**
through maximum mobilization of resources...

**SUSTAINABLE ECONOMIC GROWTH**
through industrialization...







**CREATING INVESTMENT FRIENDLY ENVIRONMENT**
to attract foreign capital, technology, & investment...

**IN IMPORT SUBSTITUTION, EXPORT PROMOTION...**

**INFRASTRUCTURE DEVELOPMENT & PRODUCTION OF GOODS & SERVICES**

## AMENDMENTS



1. Environment Protection (First Amendment) Act relating to Pollution Prevention and Control and Business Environment Promotion, 2080

2080/12/30





2. Some Nepal Acts Amendment Act relating to Investment Facilitation, 2081

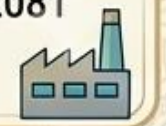
2081/03/24





3. Some Nepal Acts Amendment Act relating to Economic and Business Environment Reform and Investment Promotion, 2081





2081/12/18

# Chapter 1
# Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

# SECTION 2: DEFINITIONS

Unless the subject or the context otherwise requires, in this Act,-

**(a)**



**"Industry"**
means any industry established in accordance with the prevailing law relating to industrial enterprises.

**(b)**




**"One Stop Service Center"**
means the One Stop Service Center established in accordance with the prevailing law relating to industrial enterprises.

**(c)**



**"Non-resident Nepali"**
means a person holding the non-resident Nepali identity card, or non-resident Nepali citizenship certificate or identity card, issued in accordance with the prevailing law relating to Non-Resident Nepalis.

**(d)**



**"Prescribed" or "as prescribed"**
means prescribed or as prescribed in the Rules framed under this Act.

**(e)**




**"Securities Board"**
means the Securities Board of Nepal established in accordance with the prevailing law relating to securities.

**(f)**



**"Technology transfer"**
means any transfer of technology to be made under an agreement between an industry and a foreign investor on the following matters:

1. Patent, design, trademark, goodwill, technological specificity, formula, process,
2. User's license, technological know-how sharing or use of technological knowledge (franchise),
3. Management and technical service, information technology, marketing and market research, financial, accounting and audit, outsourcing, human resource outsourcing, digital data processing and digital data migration, design service, or other technical skill or knowledge,
4. Reverse engineering.

**(g)**



**"Board"**
means the Industry and Investment Promotion Board referred to in the prevailing law relating to industrial enterprises (name amended by subsequent amendment; definition retained as the Industry and Investment Promotion Board).

**(h)**



**"Ministry"**
means the Ministry of Industries, Commerce and Supplies.

**(i)**



**"Investment Board"**
means the Investment Board referred to in the prevailing law relating to the Investment Board.

# SECTION 2: DEFINITIONS (CONTINUED)

Unless the subject or the context otherwise requires, in this Act,

## (j) "Foreign investment"

means the following investment made by a foreign investor in an industry or company:

1. Share investment in foreign currency,
2. Re-investment in an industry of dividends derived from foreign currency or shares,
3. Share investment made by importing machinery, tools or equipment, in accordance with Section 3,
4. Lease finance made in accordance with Section 6,
5. Investment made in venture capital fund in accordance with Section 9,
6. Investment made in listed securities through secondary securities market in accordance with Section 10,
7. Investment made by purchasing shares or assets of a company incorporated in Nepal,
8. Investment received through the banking channel after issuing securities in a foreign capital market by an industry or company incorporated in Nepal in accordance with Section 11,
9. Investment made through technology transfer,
10. Investment maintained by establishing and expanding an industry in Nepal, or
11. Investment made in units of a specialized investment fund, in accordance with Section 9A.

## (k) "Foreign investor"

means any foreign individual, firm, company, Non-resident Nepali or foreign government or international agency or other corporate body of similar nature that makes foreign investment, and also includes, in the case of a foreign investor that is an institutional foreign investor, the ultimate beneficiary of such an institution.

## (l) "Foreign investment approving body"

means the body referred to in Section 17.

## (m) "Department"

means the Department of Industries.

## (n) "Institutional foreign investor"

means a foreign company, corporate body or international institution that makes foreign investment.

**Note:** All terms shall have the meanings as defined above unless the subject or context otherwise requires.

# Chapter-2 Foreign Investment

Section 3: Foreign Investment May Be Made
Section 4: Foreign Investment May Be Made Individually or Jointly
Section 5: Foreign Investment May be Made by Purchasing Assets or Shares of Industry
Section 6: Lease Investment May be Made
Section 7: Investment May be Made Through Technology Transfer
Section 7A: Technology may be transferred abroad
Section 8: Foreign Investment May be Made by Establishing a Branch
Section 9: Foreign Investment May be Made by Establishing Venture Capital Fund
Section 9A: Foreign investment may be made by purchasing units of a specialized investment fund
Section 10: Trading in Securities May be Made
Section 11: Loan May be Borrowed or Foreign Currency Acquired by Issuing Securities
Section 12: Loan May be Borrowed From Foreign Financial Institution
Section 13: Maximum Ceiling Threshold of Foreign Investment Not to be Prescribed
Section 14: Agreement May be Made with Commercial Bank

# FOREIGN INVESTMENT FRAMEWORK

## SECTION 3: FOREIGN INVESTMENT MAY BE MADE

(1) **Permitted Foreign Investment:** A foreign investor may invest in any industry except industries listed in the Schedule and may derive gains from such investment.

(2) **Restriction on Reinvestment:** An industry operated with foreign investment shall not invest its profits or make investment in any other manner in industries listed in the Schedule.

***Exception – Technology Transfer:*** *Technology transfer may be made, with approval of the Department, to an industry established with Nepali investment, even if that industry is listed in the Schedule.*

(3) **Minimum Investment Limit:** Approval shall not be granted for foreign investment below the minimum amount prescribed by the Government of Nepal through a notification in the Nepal Gazette.

Different minimum investment limits may be prescribed for Non-Resident Nepalis (NRNs) and other foreign investors.

## SECTION 4: FOREIGN INVESTMENT INDIVIDUALLY OR JOINTLY

A foreign investor may make foreign investment:



**INDIVIDUALLY**



**JOINTLY WITH OTHER FOREIGN INVESTORS**



**JOINTLY WITH A NEPALI CITIZEN OR INDUSTRY ESTABLISHED IN NEPAL**

## SECTION 5: FOREIGN INVESTMENT BY PURCHASING ASSETS OR SHARES

A foreign investor may make foreign investment by:

**PURCHASING THE ASSETS** of an industry established in Nepal



**PURCHASING SHARES** of an industry established in Nepal up to the prescribed limit



## SECTION 6: LEASE INVESTMENT

A foreign investor may make investment through **LEASE FINANCING**, subject to the prescribed ceiling.

**LEASE INVESTMENT** may be made in:

- **AIRCRAFT**
- **SHIPS**
- **MACHINERY AND EQUIPMENT**
- **CONSTRUCTION EQUIPMENT**
- **OTHER SIMILAR EQUIPMENT** General industrial machines

GOVERNMENT COMPLIANCE

LEGAL FRAMEWORKS

# SECTION 7: INVESTMENT MAY BE MADE THROUGH TECHNOLOGY TRANSFER

## PERMITTED TECHNOLOGY TRANSFER

(1) A foreign investor may make foreign investment through technology transfer in any industry established in Nepal.

## TECHNOLOGY TRANSFER AGREEMENT




(2) The terms and conditions of technology transfer must be specified in an agreement between the concerned industry and the foreign investor.

## ROYALTY CEILING

(3) The agreement shall not provide for repatriation of royalty exceeding the prescribed ceiling.

## APPROVAL REQUIREMENT

(4) The technology transfer agreement must be approved by the foreign investment approving body.

## APPROVAL CONDITIONS

- International practices
- Production capacity
- Selling capacity

(5) While granting approval, the foreign investment approving body may impose necessary conditions considering:

- International practices relating to foreign investment.
- Production capacity of the industry.
- Selling capacity of the industry.

# SECTION 7A: TECHNOLOGY MAY BE TRANSFERRED ABROAD

## PERMISSION FOR OUTWARD TECHNOLOGY TRANSFER

(1) Notwithstanding anything contained in prevailing law, an industry er company established and operating in Nepal may transfer technology to an industry, firm or company located abroad.

## RECEIPT AND INVESTMENT OF FOREIGN CURRENCY

### BE BROUGHT INTO NEPAL WITH PERMISSION FROM NEPAL RASTRA BANK




### BE INVESTED ABROAD, SUBJECT TO PREVAILING FOREIGN EXCHANGE LAWS

- Limited liability partnerships
- Firms
- Investment funds
- Companies incorporated or registered abroad; or
- Similar entities established with limited liability.



## (3) ESTABLISHMENT OF BRANCH OR UNIT ABROAD

An industry, firm or company may open a branch office or unit in the concerned foreign country for technology transfer, with approval from the Department.

APPROVED

# FOREIGN INVESTMENT OPTIONS IN NEPAL (Sections 8, 9, 9A)

## Section 8: Foreign Investment May Be Made by Establishing a Branch




(1) **Investment Through Branch:** An industry incorporated in a foreign country may make foreign investment in Nepal by:

- Establishing a branch industry in Nepal; or
- Expanding its existing branch industry in Nepal.

Such investment must comply with prevailing laws.

(2) **Other Provisions:** Procedures and other matters relating to the establishment or expansion of a branch industry shall be as prescribed.

## Section 9: Foreign Investment May Be Made by Establishing a Venture Capital Fund



(1) **Establishment of Venture Capital Fund:** An institutional foreign investor may:

- Incorporate a company under prevailing law for making equity investment in industries.
- Obtain approval from the Securities Board of Nepal.
- Perform the functions of a fund manager and establish a venture capital fund.

(2) **Investment Approval:** Investment in an industry through the venture capital fund requires approval by fulfilling the procedures prescribed under Section 15.

(3) **Submission of Statements:** The company must submit statements of the venture capital fund to the Department every six months.

(4) **Other Provisions:** Other matters relating to the establishment and operation of the fund shall be as prescribed.

## Section 9A: Foreign Investment May Be Made by Purchasing Units of a Specialized Investment Fund



(1) **Investment Through Fund Units:** A foreign investor may make equity investment in any industry by purchasing units of:

- A venture capital fund established under Section 9 with approval of the Securities Board of Nepal; or
- A specialized investment fund registered with the Securities Board of Nepal.

(2) **Investment Approval:** Investment in an industry through a fund whose units have been purchased by a foreign investor requires approval by fulfilling the procedures prescribed under Section 15.

(3) **Submission of Fund Statements:** The concerned fund manager must submit statements of the fund to the Department.

# NEPAL SECURITIES & FOREIGN LOAN REGULATIONS

## SECTION 10: TRADING IN SECURITIES



**INSTITUTIONAL FOREIGN INVESTOR**
**VENTURE CAPITAL FUND**

- MUST REGISTER WITH SEBON
- FOR TRADING IN SECURITIES



- REGISTERED FOREIGN INVESTOR
- MAY TRADE, THROUGH THE SECONDARY SECURITIES MARKET
- IN SECURITIES OF INDUSTRIES ELIGIBLE FOR FOREIGN INVESTMENT

TRADING IN SECURITIES SHALL BE SUBJECT TO PRESCRIBED PROVISIONS RELATING TO:

1. Minimum number of securities
2. Investment ceiling
3. Minimum holding period
4. Foreign currency reserve fund
5. Other prescribed requirements

## SECTION 11: BORROWING LOAN OR ACQUIRING FOREIGN CURRENCY BY ISSUING SECURITIES



**PUBLIC LIMITED COMPANY / CORPORATE BODY**

WITH APPROVAL OF NEPAL RASTRA BANK (NRB) AND SEBON



FOREIGN CAPITAL MARKETS

BORROW LOANS OR ACQUIRE FOREIGN CURRENCY BY ISSUING:

- Bonds
- Debentures
- Other securities



COMPANY INCORPORATED WITH FOREIGN INVESTMENT IN NEPAL

MAY ISSUE SECURITIES WITHIN NEPAL TO BORROW LOANS

SUBJECT TO PREVAILING SECURITIES LAWS

- FUNDS RAISED THROUGH ISSUANCE OF SECURITIES SHALL BE INVESTED IN NEPAL



- OTHER PROVISIONS RELATING TO THE ISSUANCE OF SECURITIES SHALL BE GOVERNED BY PREVAILING SECURITIES LAWS

## SECTION 12: FOREIGN LOAN FROM A FOREIGN FINANCIAL INSTITUTION




**AN INDUSTRY**

MAY OBTAIN A FOREIGN LOAN

WITH THE APPROVAL OF NEPAL RASTRA BANK (NRB)

FOR:



- Establishment of a new industry or project
- Expansion or modernization of an existing industry or project
- Other purposes approved by NRB



REPAYMENT OF THE FOREIGN LOAN (PRINCIPAL AND INTEREST) SHALL BE MADE IN ACCORDANCE WITH THE APPROVAL OF NRB AND PREVAILING LAWS

- NRB SHALL PRESCRIBE THE PROCEDURE, TERMS, AND CONDITIONS RELATING TO:
  - Approval of foreign loans
  - Repayment
  - Foreign exchange management
  - Other related matters



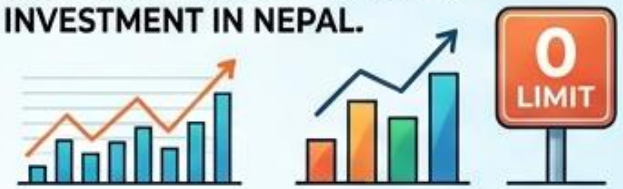

- FOREIGN LOANS SHALL BE OBTAINED AND UTILIZED ONLY IN ACCORDANCE WITH THE CONDITIONS APPROVED BY NRB
- ONLY INDUSTRIES SPECIFIED UNDER THE PREVAILING LAWS OR BY NRB ARE ELIGIBLE TO OBTAIN FOREIGN LOANS

# SECTION 13: MAXIMUM CEILING OF FOREIGN INVESTMENT

## NO MAXIMUM LIMIT



- NO MAXIMUM LIMIT ON THE AMOUNT OR PERCENTAGE OF FOREIGN INVESTMENT IN NEPAL.






- EXCEPTION: SERVICE INDUSTRIES MAY HAVE PRESCRIBED FOREIGN EQUITY LIMITS, BUT NOT BELOW NEPAL'S WTO COMMITMENTS.






- LIMITS ON FOREIGN INVESTMENT IN SECURITIES MAY ALSO BE PRESCRIBED FOR SERVICE INDUSTRIES.



# SECTION 14: ESCROW AGREEMENT WITH COMMERCIAL BANK

## SECURE TRANSACTIONS




- FOREIGN INVESTORS MAY ENTER INTO A TRIPARTITE ESCROW AGREEMENT WITH PARTNERS AND NRB-RECOGNIZED COMMERCIAL OR INFRASTRUCTURE DEVELOPMENT BANK.



- ESCROW AGREEMENT SECURES TRANSACTIONS BY HOLDING FUNDS OR DOCUMENTS UNTIL CONTRACTUAL OBLIGATIONS ARE FULFILLED.






- THE BANK ACTS AS AN AGENT OF THE PARTIES TO THE ESCROW AGREEMENT.

- OTHER PROVISIONS RELATING TO ESCROW AGREEMENTS ARE AS PRESCRIBED.



# Chapter-3 Approval and Repatriation of Foreign Investment

Section 15: Application to be Made For Approval to Make Foreign Investment
Section 16: To Give Information to the Nepal Rastra Bank
Section 17: Foreign Investment Approving Body
Section 18: Period Within Which Investment Has to be Made
Section 18A. Assets May be Transferred
Section 19: To Give Information on Sale of or Transfer of Title to Shares
Section 20: Repatriation of Investment and Earnings

# GUIDE TO FOREIGN INVESTMENT APPROVAL & PROCEDURES

## SECTION 15: APPLICATION FOR APPROVAL OF FOREIGN INVESTMENT

- Foreign investors must apply to the Foreign Investment Approving Body
  - Prescribed details
  - Investment schedule
  - Business plan
- Approval to be granted within 7 days if all required documents are complete
- Reinvestment of earned profits in eligible industries does not require fresh foreign investment approval
- Industries established or whose ownership changes due to such reinvestment must inform the Department and Nepal Rastra Bank (NRB)
- If approval is refused, the applicant must receive written reasons within 7 days
- An aggrieved investor may seek a review before the Ministry, which must decide within 30 days

## SECTION 16: INFORMATION TO NEPAL RASTRA BANK (NRB)

- After obtaining approval, the foreign investor must notify NRB
- Submit a self-declaration confirming the investment is from a legitimate source
- Investment funds must be brought into Nepal in convertible foreign currency through the banking system
- Indian investors may invest in Indian currency through banking channels
- Lease investment and loan investment through securities shall be governed as prescribed

## SECTION 17: APPROVAL OF FOREIGN INVESTMENT

- The Department is the authority responsible for granting foreign investment approval under the Act

## SECTION 18: TIME LIMIT FOR MAKING INVESTMENT

- Approved foreign investment must be brought into Nepal within the prescribed period
- Investors who obtained approval under earlier laws must also invest the prescribed minimum amount within the prescribed period
- The approving authority may revoke the foreign investment approval if the investment is not made within the prescribed time, unless there are reasonable grounds

# SECTION 18A: ASSETS MAY BE TRANSFERRED



**(1) Application for Transfer:** Any person wishing to transfer, wholly or partly and free of cost, foreign investment approved under Section 17 to another person or body must submit an application to the Department.



**(2) Approval by Department:** The Department may approve the transfer after examining the application, subject to payment of applicable taxes under prevailing law by the concerned person or body.



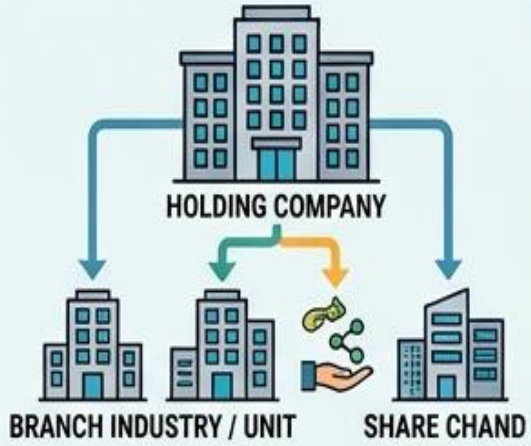


# SECTION 19: TO GIVE INFORMATION ON SALE OF OR TRANSFER OF TITLE TO SHARES




**(1) Information on Ownership Changes:** If ownership or vested ownership of property, assets, shares or other financial instruments generated in Nepal from foreign investment is sold, transferred or otherwise changed, whether within or outside Nepal:

- The concerned company must notify the investment-approving body.
- Notification must be made within 30 days of the transaction.
- Relevant documentary evidence must be submitted.
- The transaction must be recorded as prescribed.




**(2) Change in Ownership Through Holding Company:** if ownership of an industry in Nepal with foreign investment changes due to transfer of property, assets, shares or other financial instruments of its holding company, the concerned branch industry or unit must provide the information required under subsection (1).




**(3) Tax Payment Before Recording:** A transaction under subsection (1) shall not be recorded until the concerned industry pays the applicable tax under prevailing law, based on the transaction amount.




**(4) Other Provisions:** Other matters relating to the sale and transfer of title to shares shall be as prescribed.

# SECTION 20: REPATRIATION OF INVESTMENT AND EARNINGS

**Foreign investors may repatriate their investment** by selling all or part of their shares or industry after complying with Nepalese laws and paying applicable taxes.

## REPATRIATION IS ALLOWED (WITH NEPAL RASTRA BANK APPROVAL) FOR:



Sale proceeds of shares



Profits and dividends




Remaining assets after liquidation




Royalties under technology transfer agreements



Principal and interest of foreign loans




Management, technical and service fees



Proceeds from buy-back or liquidation of foreign investment funds



Repatriation is made in the **original investment currency** or another convertible foreign currency at the prevailing exchange rate.



Special limits apply to royalty payments for trademarks in liquor industries.




Foreign lenders may recover and repatriate loans through auction of pledged or mortgaged assets in case of default.




Foreign investors may repatriate leased assets and investments upon termination of lease agreements.

## REPATRIATION PROCESS



**APPLICATION FOR REPATRIATION** must be submitted to the Department (or Single Window Service Centre, where authorized).




The Department must **APPROVE** eligible repatriation applications **WITHIN 7 WORKING DAYS.**



After approval, **NEPAL RASTRA BANK PROVIDES THE REQUIRED FOREIGN EXCHANGE FACILITY.**




Repatriation on sale or closure of an industry is allowed only after **SETTLEMENT OF ALL LIABILITIES, INCLUDING TAXES.**



Repatriation is limited to the **INVESTOR'S PROPORTIONATE OWNERSHIP** in the company.



An **AGGRIEVED FOREIGN INVESTOR MAY APPEAL** to the Ministry, which must decide the matter **WITHIN 15 WORKING DAYS.**

# Chapter-4 Promotion, Facilitation and Regulation of Foreign Investment

Section 21: Functions, Duties and Powers of the Board
Section 22: Functions, Duties and Powers of the Department
Section 23: Services to be Provided Through the Single Stop Service Centre

# SECTION 21: FUNCTIONS, DUTIES AND POWERS OF THE BOARD

The Board performs the following key roles in attracting, facilitating, and monitoring foreign investment.



## POLICY REFORMS

Recommends policy, institutional, and procedural reforms to attract foreign investment.



## PROMOTION STRATEGIES

Formulates strategies and programs for promotion and protection of foreign investment.




## INVESTMENT APPROVAL

Approves foreign investment in industries and infrastructure projects.



## INVESTMENT PROTECTION

Facilitates, promotes, expands, and protects foreign investment.



## COORDINATION

Coordinates foreign investment at policy and implementation levels.



## IMPLEMENTATION ASSISTANCE

Assists in implementing foreign investment laws and policies.




## SINGLE STOP SERVICE

Ensures delivery of investor services through the Single Stop Service Centre.



## MONITORING & DIRECTION

Monitors approval and service delivery by concerned authorities and issues necessary directions.



## REPATRIATION RESOLUTION

Facilitates resolution of issues relating to repatriation of investment and implementation of the Act.



## OTHER POWERS

Performs other functions, duties, and powers as prescribed.

# SECTION 22: FUNCTIONS, DUTIES AND POWERS OF THE DEPARTMENT

1



## CREATES A CONDUCIVE ENVIRONMENT

Creates a conducive environment for industries with foreign investment.

2



## FACILITATES APPROVALS AND PERMITS

Facilitates approvals and permits, including IEE and EIA, under prevailing laws.

3



## MAINTAINS AND UPDATES RECORDS

Maintains, updates, and periodically publishes records of approved foreign investments and technology transfers.

4



## APPROVES REPATRIATION

Approves repatriation of investment and remuneration for eligible foreign investors, experts, technicians, and managerial employees.

5



## DEVELOPS AND IMPLEMENTS SOPs

Develops and implements Standard Operating Procedures (SOPs) to simpiify and improve transparency in foreign investment processes.

6




## RECOMMENDS VISAS AND FACILITATES ENTRY

Recommends visas and facilitates entry for foreign investors, their authorized representatives, foreign experts, technical/managerial employees, and their family members.

7




## REGULARLY SUPERVISES AND MONITORS

Regularly supervises and monitors industries with foreign investment to prevent misuse of incentives and facilities.

8




## ESTABLISHES IN INDUSTRIAL ZONES/SEZs

Facilitates the establishment of foreign investment industries in Industrial Zones and Special Economic Zones (SEZs).

9




## PERFORMS OTHER FUNCTIONS

Performs other functions as prescribed under the Act.

# SECTION 23: SERVICES THROUGH THE SINGLE STOP SERVICE CENTRE

The Government of Nepal may provide foreign investors with incentives, facilities, concessions, and services through the Single Stop Service Centre.

## SERVICES TO BE PROVIDED GRADUALLY INCLUDE:



Industry registration and administration



Approval of **foreign investment** and **foreign loans**



Company registration and administration



**Labour permits**



Visa facilities



**Quality** testing and control



**Approval of environmental study reports**



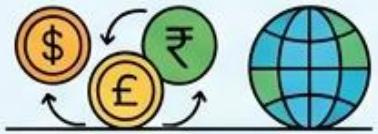
**Energy, infrastructure,** and related coordination



Industrial incentives, exemptions, and facilities




Permanent Account Number (PAN)



Foreign exchange approval



Other services required under the Act and Regulations

The Single Stop Service Centre may also provide additional services as prescribed under prevailing laws.

# Chapter-5 Exemptions, Facilities and Concessions to be Provided to Industries with Foreign Investment or Foreign Investors

Section 24: Facilities to be Obtained by Industries
Section 25: Facility to Deal with Foreign Currency
Section 26: Facility of Foreign Currency
Section 27: Provision Relating to Experts, Top-Level Technical and Managerial Employees
Section 28: Provision Relating to Industrial Security
Section 29: Facility of Identity Card
Section 30: Provision Relating to Visa Facility
Section 31: Provisions Relating to Land
Section 32: National Treatment to be Accorded
Section 33: Nationalisation or Expropriation Not to be Made
Section 34: Change in Terms, Services and Facilities

# FACILITIES AND FOREIGN CURRENCY FOR INDUSTRIES WITH FOREIGN INVESTMENT




## SECTION 24: FACILITIES TO BE OBTAINED BY INDUSTRIES



Industries with foreign investment are entitled to exemptions, facilities, concessions, and protection availble under the prevailing Industrial Enterprises Act and other prevailing laws, in addition to those provided under this Act.

However, facilities available specifically to sick industries under prevailing law are not available to industries with foreign investment.

## SECTION 25: FACILITY TO DEAL WITH FOREIGN CURRENCY

A foreign investor or industry with foreign investment may:

- Open a Nepali currency account with a commercial bank, infrastructure development bank, or financial institution in Nepal.
- Open a foreign currency account with a bank or financial institution licensed to deal in convertible foreign currency.

Nepal Rastra Bank approval is required for transactions through a convertible foreign currency account.

An industry with foreign investment may use approved derivative instruments through a bank or financial institution to manage foreign exchange fluctuation risk.

## SECTION 26: FACILITY OF FOREIGN CURRENCY

With the recommendation of the foreign investment approving body and approval of Nepal Rastra Bank, an industry with foreign investment may obtain foreign exchange for:

- Payment of remuneration to foreign experts, technical or managerial employees under Section 27.
- Payment of principal or interest on bonds or debentures issued under Section 11(1).
- Repatriation of foreign investment or income under Section 20.

For repatriation of foreign investment under the specified provision, the recommendation of the foreign investment approving body is not required if the procedure under Section 20 has been completed.

- After Nepal Rastra Bank approval, the industry may use the approved foreign currency from its foreign currency account maintained under Section 25.
- Foreign experts, technical or managerial employees may repatriate their post-tax savings from remuneration to their home country in convertible foreign currency.
- Exchange or repatriation of convertible foreign currency shall be made at the open market exchange rate.

# NEPAL FOREIGN INVESTMENT REGULATIONS

## PROVISIONS ON EMPLOYEES, SECURITY, & IDENTITY CARDS

(Based on Sections 27, 28, 29)

## SECTION 27: PROVISION RELATING TO EXPERTS, TOP-LEVEL TECHNICAL AND MANAGERIAL EMPLOYEES

### 1.1. PREFERENCE FOR NEPALI CITIZENS

Industries with foreign investment shall generally fill positions of:

- Experts in top-level management,
- High-level technical employees,
- Managerial employees, and
- Technical employees

from among Nepali citizens.



### 1.2. EMPLOYMENT OF FOREIGN CITIZENS *(If necessary)*

If suitable Nepali citizens are not available and foreign expertise is necessary for transfer of technical knowledge or skills, the industry may employ foreign citizens in accordance with prevailing law.



### 1.3. REPORTING & COMPLIANCE



- The concerned industry must provide details of foreign citizens employed to the Department.
- The Department shall provide such details to:
  * Ministry of Finance,
  * Ministry of Home Affairs, and
  * Ministry of Labour, Employment, and Social Security.
- Foreign employees and workers must comply with the terms and conditions prescribed under prevailing Nepal law.

## SECTION 28: PROVISION RELATING TO INDUSTRIAL SECURITY

An industry with foreign investment shall be provided industrial security on the same basis as any other industry established in Nepal.



## SECTION 29: FACILIOLITY OF IDENTITY CARD

The Department may provide an identity card, in the prescribed form, to foreign investors who make foreign investment as prescribed.



# LEGAL PROVISIONS FOR FOREIGN INVESTMENT IN NEPAL: VISA FACILITY & LAND

## SECTION 30: PROVISION RELATING TO VISA FACILITY

### Non-Tourist Visa



A non-tourist visa for up to six months granted to a foreign citizen for study, research, or survey related to foreign investment



### Business Visa



Yo can get business visa:

- Foreign Investors
- One Authorized Representative, and
- Their Family Members

as long as the prescribed minimum level of foreign investment is maintained



Foreign Investors sare the prescribed minimum level of foreign investment is maintained

Where investment exceeds prescribed amount, business visa is limited to max two persons and their family members

### Residential Visa

US$ 1M+

For foreign investors investing more than US$ 1 million (or equivalent convertible foreign currency) at one time, or
– to the authorised representative and family members
as long as the prescribed minimum level of foreign investment is maintained



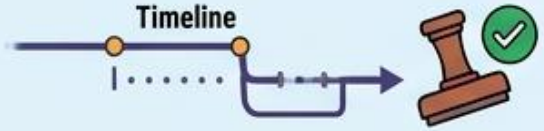
### Non Tourist Visas



Foreign experts, technical employees, or managerial employees and their families employed in industry under Section 27



Timeline



### Approval Decision

Authority shall decide whether to grant non-tourist visa within **15 days** after completing required procedures

## SECTION 31: PROVISIONS RELATING TO LAND

### Land Arrangement



Foreign investor must arrange required land by purchasing or acquiring it in accordance with prevailing law



### Request for Assistance



If unable to arrange land and requests assistance, foreign investment approving body shall provide recommendation, coordination, and facilitation



### Land Exceeding Ceiling




Where land exceeding statutory ceiling is required, industry registration body shall provide necessary recommendation, coordination, and facilitation



**Land acquired beyond ceiling shall be used only for the purpose for which it was acquired**

### Governing Laws





Provisions relating to:

- Lease of land to industries with foreign investment, and
- Land ceiling shall be governed by Industrial Enterprises Act and prevailing law

**Other provisions relating to visa facilities / land... shall be as prescribed**

# NEPAL: FOREIGN INVESTMENT FRAMEWORK
## (SECTIONS 32, 33, 34)

## SECTION 32: NATIONAL TREATMENT TO BE ACCORDED

**Foreign investment in Nepal is generally entitled to national treatment, subject to this Act and other prevailing laws.**

**Existing Investments**
Investments approved before this Act continue under then-applicable law. Existing facilities cannot be adversely changed without consent.

**Industries with Foreign Investment are Entitled to:**

- Treatment similar to comparable Nepali-invested industries.
- Freedom to determine prices of goods and services, subject to law.
- Freedom to conduct permitted trade related to their industry.
- Repatriation of profits and investment, and payment of loan interest and principal.

**National Treatment Does Not Apply to Certain Areas:**

- WTO-related intellectual property matters.
- Certain public procurement exemptions or facilities.
- Government grants and concessions.
- Non-commercial government services.
- Certain financial-sector regulatory measures.
- Special treatment arising from international or regional agreements.
- Regulatory conditions on repatriation, loan repayment and service payments.
- Measures relating to human, animal, plant health or environmental protection.

## SECTION 33: NATIONALISATION OR EXPROPRIATION NOT TO BE MADE

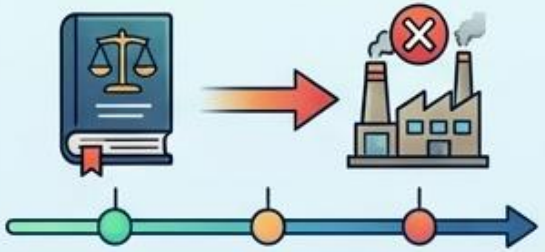


An industry with foreign investment cannot be nationalised.

Expropriation is not permitted except for a public purpose.

Where expropriation is required for public purpose, the due process under prevailing law must be followed.

## SECTION 34: CHANGE IN TERMS, SERVICES AND FACILITIES



If a subsequent legal provision changes the terms, exemptions, facilities or concessions applicable to foreign investment to the disadvantage of an investor whose investment was approved earlier, such adverse change will not apply to that investor.

# Chapter-6 Grievance Handling and Action

Section 35: Grievance Handling
Section 36: Prohibition on Acts, Actions Contrary to The Terms
Section 37: Monitoring and Inspection of Industries

# FOREIGN INVESTMENT LAW:
# SECTIONS 35, 36 & 37 INFOGRAPHIC

## Section 35: Grievance Handling

### Grievance Filing



Foreign investors or industries may file a grievance with the Department regarding actions of industry registration, regulation, monitoring authorities, or authorities of the Single Stop Service Centre.

The Department shall address such grievances as prescribed.

### Grievance Submission



Grievances concerning actions of the Department or Single Stop Service Centre may be submitted to the Ministry.



The Ministry shall address such grievances as prescribed.

## Section 36: Prohibition on Acts Contrary to the Terms

If a foreign investor or industry with foreign investment acts contrary to:






- this Act
- the Rules made under the Act or
- the terms specified while granting foreign investment approval

### Consequences




the approval may be revoked

or



the investor/industry may be required to rectify the violation

Such action shall be taken following the prescribed procedure.

## Section 37: Monitoring and Inspection of Industries

An officer designated by the Department may monitor and inspect industries with foreign investment as required.






The inspecting officer must submit a report to the Department within 3 days after completion of the inspection.



The report must include details, including whether the foreign investor or industry has committed any act contrary to Section 36.

- Other matters relating to monitoring and inspection shall be as prescribed.

# Chapter-7 Miscellaneous

Section 38: Bilateral or Multilateral Investment Agreement May be Concluded
Section 39: Agreement May be Made
Section 40: Settlement of Disputes
Section 41: Electronic Means May be Used
Section 42: Provisions Relating to Automatic Approval Process May be Made
Section 43: Validity Period of Approval of Foreign Investment
Section 44: Terms to be Complied With
Section 45: Production May be Made Upon Making Contract
Section 46: Power of Attorney May be Given
Section 47: Delegation of Powers
Section 48: Foreign Investment in Any Industry Registered in Province
Section 49: Application of Prevailing Law
Section 50: Power to Make Alteration in the Schedule
Section 51: Power to Make Rules
Section 52: Power to Make and Enforce Directives, Procedures or Standards
Section 53: Repeal and Saving

# FOREIGN INVESTMENT AND TECHNOLOGY TRANSFER ACT, 2075

## SECTION 38

### BILATERAL OR MULTILATERAL INVESTMENT AGREEMENT MAY BE CONCLUDED

The Government of Nepal may enter into bilateral or multilateral investment agreements with foreign-friendly countries or international institutions.

Such agreements may be concluded for the promotion of foreign investment in Nepal.

## SECTION 39

### AGREEMENT MAY BE MADE

A Nepali investor and foreign investor jointly investing in an industry may enter into a joint foreign investment agreement, subject to this Act.

**The agreement may cover:**

- Terms for distribution of profits from the investment.
- Mechanism for settlement of disputes relating to profit distribution and the investment.

## ★ SECTION 40 ★

### SETTLEMENT OF DISPUTES – VERY IMPORTANT

This section provides the complete process for settlement of disputes **between Nepali investors and foreign investors.**

### FLOWCHART OF DISPUTE SETTLEMENT PROCESS

**DISPUTE ARISES**
Between a Nepali Investor and a Foreign Investor

**1 FACILITATION BY DEPARTMENT**
The Department may facilitate settlement through mutual discussion or negotiation.

**2 SETTLED WITHIN 45 DAYS?** (45 DAYS)

- **YES** → **DISPUTE SETTLED**
  Inform the Foreign Investment Approving Body within 15 days.
  (No need to disclose the settlement terms and conditions.)
- **NO** → **3 IS THERE A JOINT INVESTMENT OR DISPUTE SETTLEMENT AGREEMENT?**
  - **YES** → Dispute shall be resolved according to **that agreement.**
  - **NO** → **4 NO DISPUTE SETTLEMENT MECHANISM IN THE AGREEMENT?**
    Dispute shall be settled through arbitration under **Nepal's Arbitration Act.**

**INFORM THE FOREIGN INVESTMENT APPROVING BODY**
Within 15 days after settlement.
(No need to disclose the settlement terms and conditions.)

**5 ARBITRATION UNDER THIS SECTION**

- Foreign investment disputes shall generally be settled through arbitration according to **UNCITRAL Rules or Procedures**, unless the parties agree otherwise.
- Arbitration shall be conducted in **Nepal** and **Nepal's substantive arbitration law** shall apply.

**6 NO AGREEMENT BEFORE DISPUTE OR INADEQUATE AGREEMENT?**
If no dispute settlement agreement existed before the dispute, or the existing agreement is considered inadequate, the parties may enter into a new agreement even after the dispute arises.

**7 INFORMATION ABOUT NEW AGREEMENT**
Information about such a new agreement must be provided to the industry registration body.

Disputes relating to an agreement made after the dispute arose may also be settled under the mechanisms provided in this Section.

### KEY HIGHLIGHTS

- Department first facilitates amicable settlement.
- 45 days' **period** for settlement through discussion.
- If **agreement** exists, follow that agreement.
- If no **mechanism**, settle through arbitration under Nepal's law.
- Arbitration in **Nepal**, following UNCITRAL Rules/Procedures (unless otherwise agreed).
- Inform the approving body within 15 days after settlement (no need to disclose terms).

**GOAL:**
Fair, Efficient & Investor-Friendly Dispute Resolution Mechanism

These provisions ensure investor confidence, protect rights of both parties and promote Nepal as an attractive investment destination.

# KEY PROVISIONS OF FOREIGN INVESTMENT LEGISLATION



## SECTION 41: ELECTRONIC MEANS MAY BE USED

The Foreign Investment Approving Body may perform foreign investment approval-related functions through recognised electronic means.

Such electronic processes must comply with the prevailing law on electronic transactions.



## SECTION 42: AUTOMATIC APPROVAL PROCESS

The Government of Nepal may introduce an automatic approval route through a notification in the Nepal Gazette.

This may cover services such as:

- Company registration
- Industry registration
- Foreign investment approval

The objective is to make the foreign investment process simple and efficient.

Detailed provisions regarding the automatic route and online system shall be as prescribed.



## SECTION 43: VALIDITY PERIOD OF FOREIGN INVESTMENT APPROVAL

**VALIDITY:** Remains valid as long as the foreign investment remains in Nepal.






**APPROVAL BECOMES INEFFECTIVE IF:**

1. The investor fails, without reasonable reason, to start bringing the approved foreign investment into Nepal within 2 years of approval.
2. 100% ownership of the foreign-invested industry is transferred to a Nepali investor through sale of shares.
3. The registration of the industry or company is revoked due to its default.

**Other provisions regarding the validity of foreign investment approval shall be as prescribed.**



## SECTION 44: TERMS TO BE COMPLIED WITH

In addition to the requirements specified in the Act, a foreign investor must comply with other prescribed terms and conditions.

# GUIDELINES ON FOREIGN INVESTMENT: SECTIONS 45, 46 & 47

## SECTION 45: PRODUCTION MAY BE MADE UPON MAKING CONTRACT



**INDUSTRY A**
(Foreign Investment)

**INDUSTRY B**
(Same Objective)

- An industry with foreign investment may enter into a contract or subcontract with another industry having the same objective.
- Such contracts or subcontracts may be made for the production of goods or services.
- Other provisions relating to contract-based production shall be as prescribed.

## SECTION 46: POWER OF ATTORNEY MAY BE GIVEN




- A person intending to make foreign investment may grant a Power of Attorney (PoA) to another person to perform some or all required activities.
- Acts performed by the authorised person within the scope of the PoA shall be deemed to have been performed by the person granting the PoA.
- The PoA must be:
  - Notarised, and
  - Submitted to the Foreign Investment Approving Body.
- The approving body may inspect the original PoA, if considered necessary.
- The authorised person cannot further delegate the authority received under the PoA.
- The person granting the PoA may withdraw it at any time.
- The PoA becomes invalid from the date the withdrawal is registered with the Foreign Investment Approving Body.
- Other provisions relating to PoA shall be as prescribed.

## SECTION 47: DELEGATION OF POWERS




- The Board or Department may delegate some of its powers to:
  - Any body of the Government of Nepal, or
  - Any officer of the Government of Nepal.
- Such delegation may be made as required and shall be subject to the powers conferred under the Act and Rules.

## 1 Section 48: Foreign Investment in Any Industry Registered in Province



- Foreign investment or technology transfer in an industry registered by a Provincial Government requires approval from the Department under this Act.
- The Provincial Industry Registration Certificate must be submitted to obtain such approval.
- Other provisions relating to foreign investment in a Province-registered industry shall be as prescribed.

## 2 Section 49: Application of Prevailing Law



- Matters specifically covered by this Act shall be governed by this Act.
- Matters not covered shall be governed by the prevailing law relating to industrial enterprises and other applicable laws.

## 3 Section 50: Power to Make Alteration in the Schedule



- The Government of Nepal may make necessary alterations to the Schedule.
- Such alterations must be made through a notification published in the Nepal Gazette.

## 4 Section 51: Power to Make Rules




- The Government of Nepal may frame necessary Rules for implementing this Act.

## 5 Section 52: Power to Make and Enforce Directives, Procedures or Standards



- The Government of Nepal may formulate and implement necessary:
  - Directives
  - Procedures
  - Standards
- These must be consistent with the Act and Rules.

## 6 Section 53: Repeal and Saving




- The Foreign Investment and Technology Transfer Act, 2049 is repealed.
- However, all acts and actions performed under the repealed Act shall be deemed to have been performed under the Foreign Investment and Technology Transfer Act, 2075.

# Schedules

# Schedule (Relating to sub-section (2) of Section 3)

## Industries or Businesses Restricted for Foreign Investment

1. **Animal husbandry, fisheries,** bee-keeping, fruits, vegetables, oil seeds, pulses, dairy business and primary agricultural production, other than those exporting at least 75% of their own production, and large industries related to primary agricultural production, agricultural technology and mechanization.



2. Micro and cottage enterprises.



3. **Personal service business (e.g. hair cutting, tailoring, driving etc.).**



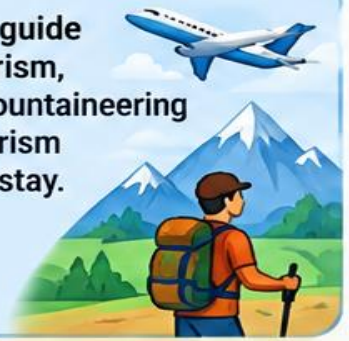
4. Industries manufacturing arms, ammunition, bullets and shell, gunpowder or explosives, and nuclear, biological and chemical (N.B.C.) weapons; industries producing atomic energy and radio-active materials.



5. **Real estate business** (excluding construction industries), retail business, internal courier service, local catering service, moneychanger, remittance service.



6. Travel agency, guide involved in tourism, trekking and mountaineering guide, rural tourism including homestay.



7. Business of mass communication media (newspaper, radio, television and online news) and motion picture of national language.




8. Management, account, engineering, legal consultancy service and language training, music training, computer training, and.



9. **Consultancy services having foreign investment of more than 51%.**



10. **Ride sharing having foreign investment of more than 70%.**



11. In the case of industries operating aircraft, training, repair and maintenance and providing passenger service facilities, foreign investment exceeding the following limits:
    - a. International airlines: 80%
    - b. Domestic airlines: 49%
    - c. Training institutions: 95%
    - d. Repair and maintenance institutions: 95%



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